

INTERNAL LEGAL MEMORANDUM

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Date: April 4, 2026

Subject: Preliminary litigation and negotiation posture

Issue Framing

The case involves potential material breach of service levels and a payment dispute.

Evidence includes contract terms, KPI extracts, and invoice reconciliation records.

Key Legal Questions

- Are termination preconditions satisfied under cure and notice clauses?
- Which damages are recoverable under liability cap language?
- Is mediation mandatory before arbitration trigger?

Risk Assessment

- Medium-to-high risk if Atlas cannot prove metric integrity and causation of losses.
- Counterparty likely to challenge KPI methodology and exclusion criteria.
- Delay in documentation could weaken breach timeline narrative.

Recommended Strategy

- Preserve a settlement window while building arbitration-ready evidence.
- Prioritize chronology clarity and source-grounded damage calculations.
- Align communications to avoid prejudicial statements.